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ROCKWOOL A/S (ROCK.B.DK)

Analyst Meeting - ESG

CORPORATE PARTICIPANTS

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MANAGEMENT DISCUSSION SECTION

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Good everyone and welcome to a conference on Sustainability and ESG Topics. My name is Kim Junge Andersen and I'm the CFO of ROCKWOOL A/S. Today I'm pleased to present SVP, Group Marketing and Communication and Public Affairs, Mirella Vitale. For the first part of this call for all participants will be in a listen-only mode. As a reminder, this conference call is being recorded. First, we'll go through the presentation of today's sustainability and ESG topics, after which we'll be ready to answer all your questions.

Mirella, I'll hand over the work to you.

Mirella Vitale

SVP-Group Marketing & Communications, ROCKWOOL A/S

Okay. Thank you, Kim. If we go to Slide 2, I'll give a brief overview of the agenda for the call. We'll be talking about our decarbonization plans, both present and future. Then we'll look a little bit at our sustainability performance on other parameters outside of just the CO2 reductions. And third point will be an overview of our ESG ratings and how we're scoring there. We'll go through some of the EU matters that have been intensely covered by and by media this week, and then give everybody a little bit of time for a Q&A if necessary.

If we move to Slide 3. This shows the three pillars of our decarbonization targets. Nothing has changed here. We continue to focus on three main areas energy efficiency, technology, innovation and circularity. As you all know, we use a lot of energy in our production processes and in our buildings. So it is essential for us to continue reducing our energy consumption. This is why we put energy efficiency first in our own operations and consider this one of our essential pillars. The second pillar, which is technology innovation, is, of course, the focus on our mounting technologies to transition away from fossil fuels towards electrical melting.

The conversion to electrical melting is the main technological lever and is actually the one we draw on the most in order to reduce our carbon emissions. Then we have circularity, this is an area that we need to continue to optimize and focus on. It does contribute to reducing our carbon emissions, especially when we're able to recycle a part of the taken back material directly into the production process and avoid the re-melting. But this today only accounts for actually 3% to 4% of our reduction. So still a long way to go, but something that we continue to believe has an important value from us. From a business standpoint, of course, being able to recycle still more makes it an attractive material for the construction industry as regulation shifts towards a more secular model requiring us to reduce resource consumption, waste and carbon emissions. So we will continue to innovate and hopefully get more percentages of take back material into our processes.

If we go to Slide 4, where we're looking at our CO2 emission reduction targets, overall, you'll see that we're progressing well both on the SDG related emissions that you find on the left side of the slide in our SBTI Scope 1 and Scope 2 goals. The SDG goals to have a baseline 2015. They were established earlier in the process and the SBTI goals are a baseline 2019. It's also important for me to underline that we continue with our net zero greenhouse gas emissions by 2050 target. Even though this today is our own goal, it's not validated by a third party.

When we look at the Scope 1 and Scope 2 emission intensity reductions on the SDG goal, that is the emissions per tonne produced. We are currently ahead of our 2030 target but of course we know that we need to maintain that performance for the rest of the decade as we continue to grow, which we expect to do. We need to make sure as we continue to grow, which we expect to do, we need to make sure that we have our plans in place. When we go to the SBTI goals, which I'll actually go into more detail on the next slide. Our basic message is still that we're making strong progress, but it's worth remembering that these goals actually include already future growth. So it's not just about reducing year-on-year, but it's also about having a trajectory that considers all the future growth right up until 2034. Another important point is that 70% of greenhouse gas emissions from coal come from scope one two and that is why our main focus and efforts are placed in this area. Scope 3 today account for just 3% of our CO2 emissions.

Looking a little bit deeper at SBTI goals on slide 5 in 2020, we said absolute emission reduction targets that were verified by SBTI. For those of you who are aware of SBTI and how it works, there's a possibility to make a commitment and then take up to two years to get those goals verified. When we went out and communicated publicly in 2020, we had already gone through the validation process. These were very ambitious goals. They continue to be ambitious goals and I'm pleased to say that we are about halfway to our reduction target of 38% by 2034 and in 2024 the reduction was driven mainly by the conversion of the factory in Switzerland to electrical melting. This conversion resulted in a 75% reduction of CO2 emissions at that site, which is equivalent to about 25,000 tons of CO2. If you look at us CO2 reductions, these were mainly driven by acquiring energy attributes certificates. However, as we've been saying and I said previously, our biggest driver really is the electrification of our melting.

We have a solid plan to convert and continue to convert our factories going forward. It's a long term effort and it's a very dynamic plan. We have regular meetings. We actually have a conversion board where Kim and I and together with our Chief Technology Officer Bjorn, sit together and make sure that we're taking into consideration regulation and market shifts and prioritizing in the best way possible. We do have smaller supporting initiatives that help our year-on-year a commitment. This is the energy efficiency in our own offices, which of course is core to our own business, but also transitioning our company vehicles to electrical as well as in the initial PPA that we signed in 2024.

However, on the grand scheme of things, all of these supplemental elements only account for a single digit reduction. If you look at our forward plans on slide 6, as I said, our SBTI targets continue to remain solid. We are part of the well below 2 degrees scenarios. We are evaluating potential scenarios where we can join the 1.5 to be pathway. The main issue we have with this is that it does require us to have some year on year targets. So a 4.2% reduction year-on-year, which is very difficult for us to commit to as our electrification relies on so many external factors. Obviously the availability of electricity in the grid being the largest one, but we have plans in place and we stay on track for our net zero commitment.

So when the current with the current SBTI targets are verified but our SR 2050 targets are our own targets, which are not yet verified by third party. As I said previously, when you look at where we are going with electrification,

we have a new line in Romania that is underway. So compared to the existing line at that site, we expect a 75% reduction of emissions from the new line, but this will actually be visible only by 2029 when you look at our absolute emissions in those -- at that site. In Netherlands and France, we are converting existing sites to electric smelters. Again, on each production line. We expect to have a 75% reduction compared to the current emissions. But when you look at Netherlands and France in its entirety at the site, then we're talking about a reduction of CO2 emissions between 50% to 60%.

Important also to highlight is that we maintain our commitment to 100 million per year investment on sustainability and decarbonization projects. So no changes to our, to our commitments going forward. Then moving on to our environmental goals on slide 8. You'll see that we have that again on track on almost all of the areas, water intensity, which is the cubic meters of water that we use per tonne produced. This is stable, still on track. Not a lot of progress in the, in the water consumption reduction in 2024. We produced a lot more compared to 2023.

So it's also why the numbers do not show significant changes. But we are introducing new technologies such as an organic ranking cycle, where we use an organic liquid that allows us to use less water. We're also increasing our rainwater recovery and new cooling systems where we have a closed loop system, in particular in the factories where we're converting to electrical melting. When it comes to reclaimed materials rock cycle. We continue to expand that to new markets. We've increased our offering to include Poland, Malaysia, and Singapore. So as of today, we offer the Rockcycle Takeback program to 24 countries. Of course, we'd like to see bigger numbers in the actual amount of material that comes back to our factories, and we look forward to seeing EU regulation that actually sort of requires that materials that can be recycled or recycled, as long as landfill policies and our landfill costs are cheap, then it's very difficult to sort of force people or force the construction industry to come and bring back material.

So we're working on that to make it a more attractive business case. But it's definitely something that we can do more of. And we will continue to push regulation in that direction. Energy efficiency in our own buildings, of course, that's a core part of our business. We're very much on track to improve the energy efficiency of our buildings. When we renovate our buildings, we find savings between 60% to 80%. So proving that the deep renovation does work. The reason that you see less of an increase in 2024 is that we directed most of our spending towards the CapEx goals and the decarbonization, as I said, because this is where we actually have the biggest impact, not only for ourselves, but also for society. So that's why the focus on the CapEx investments shifted towards our decarbonization.

When it comes to wastewater going to landfill, we had a little bit of a decline in 2024, that simply because we had a couple of operational issues, one related to some wet waste in our factory in Norway. So we were unable to put it through our recycling system. And then the ramp up of the electrical melter in from rock, which didn't allow us to have the take back that we expected in the first round, but we see that as a temporary issue that's going to be fixed, as we go along.

If we look at Slide number 9, we go to our social goals. And of course, here we start with occupational safety and health, where obviously we have an unsatisfactory goal. Our goal every year is the same zero fatalities, zero serious accidents and a reduction in lost time incident. Sadly, we had to report a fatality in 2024 with an external contractor who passed away while working at our factory in Rayong. Of course, this is never acceptable. We have conducted a root cause analysis, reviewed the incident both with the CEO and the Board of Directors, and now the necessary preventative actions have taken place as well as training, additional training to other factories to avoid this happening again.

Having said that, our other goals are firmly on track. Female leaders. Where we have a voluntary target of 35%, female leaders in senior and middle management. We made a 1% progress in 2024, mainly driven by female leaders joining us in Canada, Malaysia, the Netherlands and Poland. Local community engagement. We have a community engagement manual where we realized we needed to do a better job at training our employees. We expect to receive -- to achieve 100% training of all the relevant target groups within our organization by 2025. But the manual is firmly in place and is implemented across the group. And the same with human rights. We have policies and policies and manuals in place and we are currently undergoing training. All key employees are expected to be trained by the end of this year with additional training to all the resource -- the human resource community also covering manuals on forced or child labor. So a lot of progress. We actually hit. We had a target of 90%. We've actually reached much higher target. So we expect to reach already 100% by H1 this year.

When you look at slide 10, we go into our business contact goals again compromising on business integrity is never an option at ROCKWOOL. Our target was to reach 90% of our key employees with the new training of the code of conduct and whistleblowing mechanisms. We actually have achieved a 97% goal. It's important to say when we talk about training our key employees, obviously we train the employees that are more susceptible or exposed to these risks. But the trainings are available on our internal platforms and accessible to all employees and in fact, the code of conduct is mandatory for everyone at the ROCKWOOL Group, regardless of where they work.

Sustainable sourcing very much on track here. We have clear lines of responsibility for human rights, due diligence in the supply chain. That responsibility actually lies with our colleagues in sourcing and the sustainability departments. We work very well together in ensuring that we go through the auditing and that we monitor our main suppliers. Today, actually, a thousand suppliers are already monitored under this program and we do not expect to reduce that and we actually have no intention of reducing that, even though some of the new regulations have been lightened. We've done the work and so we'll stay the course on that without making any changes.

When you go to slide 12, you look at the ESG rankings. These are, of course, very important both for our perception and for our brand. We score well in all the main ranking houses. CDP recently came out with their 2025 rankings based on 2023 data because they work sort of one year behind our reporting data. This year we dropped from an A minus to B. This is partly because in 2023 we didn't yet have our Scope 3 data assured. Again, we expect this to be a temporary setback and we hope and expect to be back at A-, if not an A, by 2024. Another point is that our decarbonization targets, as I said before, are today aligned with the well below 2 degree scenario. The market does expect a shift towards a 1.5 degree pathway, something that we're firmly committed to doing, but we're just unable today to get that validated with that year-on-year trajectory that is expected from the -- from these -- the methodologies that are used right now.

EU taxonomy that slide 13 this was also covered in the annual report meeting so I won't go into too much detail as a company is EU taxonomy eligible because the construction and energy efficiency are both part of the taxonomy framework? Our taxonomy aligned activities to make substantial contributions to the six environmental objectives of doing no significant harm. And we're able to prove this time and time again through our operations. Alignment for revenue is always higher because insulation directly contributes to energy efficiency and reduce consumption, whereas you'll see slightly lower figures for CapEx because we're not always able to make a direct link between a piece of equipment or maintenance of an equipment to a sustainable action or to energy efficiency.

When you look at OpEx, again, very high taxonomy alignment, what do you see that falls out of taxonomy alignment and normally admin activities that could be related to HR, IT and other administrative tasks. Then we go to our final slide, which is the ESG omnibus package that was released by the EU last week. Again, in general,

there's been a lot of discussion in media about this and how it impacts different companies. Most of the modifications apply to small companies so less relevant for ROCKWOOL. With that said, of course we agree less bureaucracy is good. Simplification of the procedures is welcome. But we have done the work so we are not going to change our course. There's some confusion in how EU taxonomy and criteria are reported, so more clarity on that is always welcome. But we did this year come out with our first integrated report. And I think our biggest struggle was sometimes understanding the difference between what was actually a requirement and what was subject to interpretation. But we feel that we've come a long way and made the effort. So we don't expect to change the course on our CSRD reporting. When it comes to us target setting at ROCKWOOL. Our sustainability strategy remains the same, and we're not going to reduce or change our targets. Our commitments stay solid, both in terms of decarbonization and circularity, because we believe it's the right thing to do, but also because they are key strategic drivers for our business.

Looking forward at what comes next from the EU. As I said, we make no changes to what we're doing today. But of course when we see that the new sector specific regulations will not come into play, that does mean some less data points for us to report on. So we will welcome that simplification, but stay the course on what we've already done to date. So that's actually what we have on the agenda today. And I think we can open up for questions.

QUESTION AND ANSWER SECTION

Operator: Thank you. [Operator Instructions] Operator: [Operator Instructions] We will pause for just a moment to assemble our roster. [Operator Instructions] We'll pause for just a moment to assemble our roster. And this concludes the question-and-answer session that the service offers. Back over to our host for any final remarks.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Thank you. Thank you very much. And I'm sure they were so clear, the presentation that that everything was answered in there. If you have questions later on, you are of course, welcome to contact our investor relationship in person. I myself mean and I would like to thank you for the ESG Investor Call today. And if you have any questions, just reach out. Thank you very much. Have a great day.

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